

NOTE 6 - continued

USDm	2019	2018	2017
Prepayments on vessels			
Cost:			
Balance as of 1 January	45.5	88.4	44.1
Additions	301.8	38.9	44.3
Transferred to vessels	-252.3	-81.8	-
Balance as of 31 December	95.0	45.5	88.4
Carrying amount as of 31 December	95.0	45.5	88.4

USDm	2019	2018	2017
Other plant and operating equipment			
Cost:			
Balance as of 1 January	5.8	3.6	2.7
Adjustment on transition to IFRS 16	0.3	-	-
Additions	2.2	2.2	1.0
Disposals	-0.2	-	-0.1
Balance as of 31 December	8.1	5.8	3.6
Depreciation:			
Balance as of 1 January	2.8	1.7	0.9
Disposals	-	-	-0.1
Depreciation for the year	1.0	1.1	0.9
Balance as of 31 December	3.8	2.8	1.7
Carrying amount as of 31 December	4.3	3.0	1.9

For information on assets provided as collateral security, please refer to note 16. Please refer to note 8 for information on impairment testing.

The depreciation expense related to "Other plant and operating equipment" of USD 1.0m relates to "Administrative expense" (2018: USD 1.1m, 2017: USD 0.9m). Depreciation and impairment losses on tangible fixed assets on "Vessels and capitalized dry-docking" relate to operating expenses.

NOTE 7 - LEASING

TORM has leases for the office buildings, some vehicles and other administrative equipment. With the exception of short-term leases and leases of low-value assets, each lease is reflected on the balance sheet as a right-of-use asset with a corresponding lease liability. The right-of-use assets are included in the financial statement line item in which the corresponding underlying assets would be presented if they were owned. Please refer to note 6.

As of 31 December 2019, TORM had recognized the following right-of-use assets:

USDm	Vessels and capitalized dry-docking	Land and buildings	Other plant and operating equipment
Cost:			
Balance as of 1 January	43.3	-	-
Adjustment on transition to IFRS 16	-	9.9	0.3
Additions	1.8	0.5	0.4
Disposals	-2.7	-	-0.1
Balance as of 31 December	42.4	10.4	0.6
Depreciation:			
Balance as of 1 January	13.4	-	-
Disposals	-2.7	-	-
Depreciation for the year	4.8	2.3	0.2
Balance as of 31 December	15.5	2.3	0.2
Carrying amount as of 31 December	26.9	8.1	0.4